

Micron Technology, Inc.

MU NASDAQ

Buy	\$1067.74 ▼ 2.59%	12M Price Target \$1250.00	52-Week Range \$154.65 – \$1255.00	Market Cap \$1.21T
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MU: Memory Shortage Deepens, Earnings Setup Loaded

WHAT HAPPENED

- Stock is down 2.6% today but that's after a monster 9% run in four sessions (\$977 → \$1067) — this is a breather, not a break. UBS came out saying the chip shortage is DEEPENING into 2027, and Citi raised its 2027 target. Translation: Wall Street is racing to catch up to the reality that memory is genuinely tight because of AI.
- Earnings are the "real tone setter" per Roundhill — MU reports imminently and everyone knows it. The unusual put buying at \$1075-1090 strikes isn't necessarily bearish; a lot of that is likely hedging existing long positions into the print, not new shorts.

WHY IT MATTERS

Here's what this really means: memory just went from a boom-bust commodity to a structurally scarce AI input, and MU is the only US-based player at scale. When UBS says the shortage "deepens into 2027," that's code for pricing power lasting multiple quarters — which flows straight to earnings because memory margins are extremely leveraged (each 10% price hike is nearly pure profit). The fact that the stock pulled back on a green-tape "AI magic" day tells me some folks are de-risking into earnings, not that the story is broken. Watch for: if MU guides Q1 FY27 revenue above \$12B and HBM sold out through 2027, this thing punches through \$1255 highs quickly.

POLICY & POLITICAL WATCH

The political backdrop is unusually friendly right now: MU received roughly \$6.1B in CHIPS Act grants for its New York and Idaho fabs, and the Trump admin's semiconductor tariffs on Chinese memory (specifically CXMT and YMTC) act as a de facto pricing shield for Micron. Watch the ongoing US-China tech export control review — any further tightening on advanced memory to China is a mixed bag (MU loses some China revenue but gains pricing power globally). The other one to watch: Section 45X advanced manufacturing tax credits — if Congress doesn't tinker with them in the year-end tax package, MU gets meaningful cash refunds on its US production that most investors underweight in models.

IS IT EXPENSIVE?

At ~47x forward earnings that sounds nosebleed, but memory earnings are cyclical — you're really paying about 18x EV/EBITDA (enterprise value divided by cash earnings, a way to compare companies with different debt loads). If FY27 EPS actually hits \$22+, you're paying under 50x on trough numbers that could double. Not cheap, but not insane for a company that's the sole US-flag HBM supplier during the biggest AI infrastructure build in history.

WHAT COULD GO WRONG

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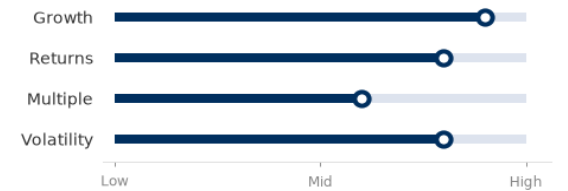
AI-Generated Pre-Market Brief | 2026-09-23 17:18 UTC

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Key Data

Price (USD)	\$1067.74
12M Price Target	\$1250.00
Upside / (Downside)	+17.1%
Market Cap	\$1.21T
FY2026E Revenue	\$52,500M
FY2027E Revenue	\$68,000M
FY2026E EPS	\$14.20
FY2027E EPS	\$22.50
Fwd P/E	47.4x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$1200.00	\$1100.00	\$950.00
6 Months	\$1400.00	\$1200.00	\$900.00
1 Year	\$1600.00	\$1250.00	\$850.00
2 Years	\$2000.00	\$1450.00	\$800.00
5 Years	\$2800.00	\$1800.00	\$700.00
10 Years	\$4000.00	\$2400.00	\$600.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Semiconductors broadly (+5.96% over 5 days) — AI capex commentary from hyperscalers keeps confirming the spending is real, and the "memory is the new bottleneck" narrative is taking hold beyond specialist funds.

COOLING OFF: Energy (-4.93% over 5 days) as oil weakens; Consumer Staples and Healthcare are lagging as money leaves defensives to chase AI beta.

ROTATION WATCH: Money is aggressively rotating from defensives into semis and AI infrastructure. The tell: today tech is down 0.2% but Materials led — that's a mild "risk-off within growth" day, not a real rotation out of the AI trade.

RELATED PLAY: If MU keeps ripping, look at the memory equipment names — Lam Research (LRCX) and Applied Materials (AMAT) sell the picks and shovels to Micron's fab buildouts. Also SK Hynix ADRs if you want direct memory exposure without US-specific risk.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the tide that lifts memory boats — every incremental Blackwell/Rubin unit sold pulls HBM demand with it.
- AVGO (Broadcom): Custom AI silicon wins with hyperscalers, which need MU's memory to function — direct read-through.

MU CONTEXT: MU is actually LEADING the semi group over the past week (+9% vs sector +6%), which tells me the memory-specific narrative is now outrunning the general AI trade. That's bullish — it means investors are getting more specific about where the bottlenecks are, and MU is being singled out as a beneficiary rather than just riding coattails.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

Position Size: 3-5% of portfolio

Entry Points: \$980-1020 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: HBM pricing rolls over, Samsung/Hynix flood market, or AI capex guidance gets cut by hyperscalers

Hedging: Small put spread into earnings or pair with short SOXX to isolate MU alpha